EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Claveria, Cagayan was created by virtue of a Royal Decree of Spain on June 5, 1865. It is a third-class municipality situated on the northwestern coast of the Province of Cagayan.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Claveria for the year 2024 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Claveria, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	471,286,465.31	433,406,399.36	37,880,065.95
Liabilities	141,654,883.40	62,449,795.56	79,205,087.84
Government Equity	329,631,581.91	370,956,603.80	(41,325,021.89)
Financial Performance			
Income	201,120,864.71	185,219,939.58	15,900,925.13
Expense	202,991,876.59	162,583,449.60	40,408,426.99
Net Income	(1,871,011.88)	22,636,489.98	(24,507,501.86)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Improvement of Municipal Gymnasium	2,903,334.97
Installation of Solar Street Lights with Pole	1,998,317.60
Construction of Motorpool	3,674,165.05
Construction of Tourism Building	3,979,710.04
Total	**12,555,527.66**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Claveria, Cagayan for the year-ended December 31, 2024 because the existence, accuracy and reliability of the Property, Plant and Equipment account appearing in the financial statements totaling to P204,418,896.92 as at December 31, 2024, cannot be relied upon due to non-conduct of a complete inventory count, reconciliation and one-time cleansing of the PPE account.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Teams significant audit observations and recommendations:

1. The Municipality was able to implement six (6) out of nine (9) programs/ projects/ activities (PPAs) under the CY 2024 20% Development Fund, in which five (5) projects were completed and one (1) is on-going as of year-end. Meanwhile, nine (9) out of twenty-four (24) PPAs under the continuing 20% Development Fund totalling to P12,149,500.00 were not implemented by the Municipality as at December 31, 2024, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended that the Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund.

   We also recommended that the Municipal Planning and Development Officer monitor regularly the implementation of the 20% Development Plan, including continuing appropriations, and closely coordinate with the concerned departments in the implementation of these projects, in order for the Municipality to fully achieve the desired socio-economic targets and outcomes.

2. Several transactions totalling to P1,564,396.65 were incorrectly recorded as Due to LGUs, thereby overstating the account by the same amount and affecting the accuracy of the Due to LGUs account as at December 31, 2024.

We recommended that the Management:

a. Review and reconcile all transactions related to inter-local government unit transactions to ensure compliance with COA Circular No. 2015-009; and

b. Direct the Municipal Accountant to effect the necessary correcting entries to reflect the correct account balances.

3. Procurement of petroleum fuel, oil and lubricants (POL) totaling P9,223,644.6 were not included in the Annual Procurement Plan for CY 2024 of the Municipality, and were paid to a single supplier without contract. Hence, there is no legally binding obligation between the Municipality and the Supplier as the terms and conditions to be undertaken by both parties are not well defined.

   We recommended that the Management follow the specific guidelines provided for Direct Retail Purchase of petroleum fuels, oils and lubricants in Section 53.14 and Annex H of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184, specifically the inclusion of estimate POL products in the Annual Procurement Plan and execution of contract or agreement between the Municipality and the supplier to warrant any damage or loss.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	
Total	**-**	**-**	-	-	-
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the nine (9) audit recommendations in the CY 2023 Annual Audit Report, five (5) were implemented, two (2) were partially implemented and two (2) were not implemented.